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Week ending: 22nd October 2021

Weekly Fixed Income Note

Key Highlights:

- T-bills remained undersubscribed for the ninth week running with the overall subscription rate decreasing to **74.23%** compared to the **74.33%** recorded last week. The 91-day paper was oversubscribed recording **163.01%**, while the182-day and 364-day papers were undersubscribed recording **65.33%** and **47.63%**, respectively**.** The CBK accepted **88.99%** of the KES **17.82 Bn** worth of bids received**.** ***The current fiscal year borrowing is 54% ahead of prorated target.***

- The 91-day and the 364-day papers maintained their upward momentum with their rates edging up by **6.8bps** and **13.0bps** to **7.02%** and **8.36%** respectively. The 182-day paper yield was at **7.42%**.

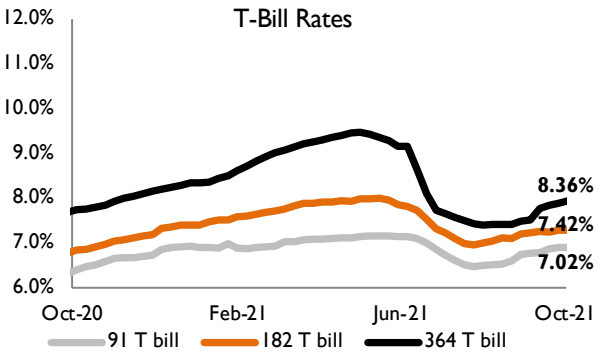
- In the secondary market, the value of bonds traded increased by **48.01%** to **15.31 Bn** from **KES 10.34 Bn** recorded last week. On a year-to-date basis the Yield Curve has readjusted upwards in the mid range but held steady in the short and long end of the curve. FTSE Bond index closed the week at **96.74** taking the YTD loss to **0.78%.**

We expect activity in the secondary bond market to be driven by investors hunting for better yields and eased liquidity due to government bond settlements. Continued borrowing by the government is likely to increase upward pressure across the yield curve, in the near term.

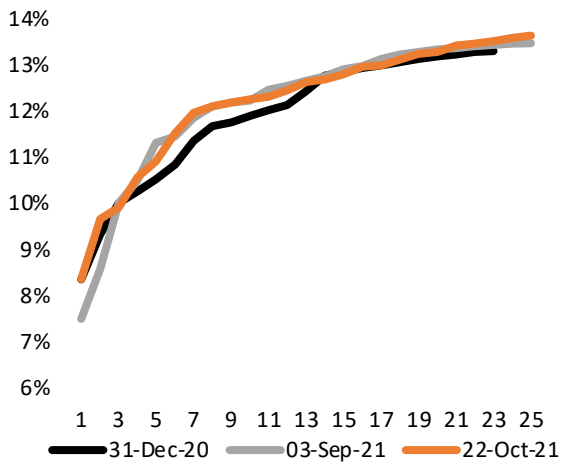
Macroeconomic data	Current	Previous
GDP (2020 vs. 2019)	(0.30%)	5.00%
Inflation (September)	6.91%	6.57%
Private sector credit growth (August)	7.00%	6.10%
Money Supply (June)	6.30%	7.60%

Key Indicators

	Current	Previous	% Change
91- Day	7.02%	6.95%	0.07%
182-Day	7.42%	7.42%	0.01%
364-Day	8.36%	8.23%	0.13%
Interbank Rate	4.63%	4.62%	0.01%



NSE Yield Curve



MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the dollar this past week depreciating by **0.17%** to trade at **111.06** from **110.87** at the close of last week. The shilling has depreciated by **1.50%** against the USD on a Year-To-Date basis. The CBK's usable forex reserves currently stand at **USD 9,228** million (**5.64** months of import cover), a **0.36%** week-on-week decline from **USD 9,261** million (**5.66** months of import cover) recorded last week.

We expect the local currency to continue under pressure due to the increase in global oil prices, coupled with reduced dollar inflow from key export earning sectors such as agriculture and tourism.

Liquidity

Liquidity in the money market remained relatively unchanged, as reflected by the marginal increase in the average interbank rate which increased to **4.63%** from **4.62%** recorded in previous week.

We expect the interbank rate to remain near the region of 5.00%, for the coming week, mainly driven by aggressive open market operations by the CBK.

Monthly Retail Fuel Prices

The Energy and Petroleum Regulatory Authority (EPRA) released the retail fuel prices for the period beginning 15th October to 14th November 2021.The prices of Super petrol and Diesel decreased by **KES 5.00** per litre to **KES 136.4** and **KES 118.01** per litre respectively while that of Kerosene decreased by **KES 7.28** to **KES 108.54** per litre. The decrease was due to reduced pump prices and the government extending its subsidy to cushion consumers against the increase in prices.

We expect the recent decrease to offer reprieve to consumers by lowering the transport index and the input cost of several products.

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